AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2011

Business Studies Paper II

Time allowed: 2 hours 25 minutes Marks 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign that it is correct.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are EIGHT questions. Answer ALL EIGHT questions. Questions 7 & 8 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 7 Marks)

a. Almost every business requires different stake holders. (1 Mark)

Define the term ‘stake holder’.

_____

_____

b. Identify any THREE objective of a business organization. (3 Marks)

_____

_____

_____

_____

_____

_____

c. Briefly describe the primary, secondary and tertiary sector business activities of an economy. (3 Marks)

_____

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Q.2. (Total 5 Marks)

a. 'Leadership style refers to a leader's behaviour.' It is the result of the philosophy, personality and experience of the leader. (3 Marks)

Explain briefly the following styles of leadership.

i. Autocratic:

_____

_____

ii. Laissez fair:

_____

_____

iii. Democratic:

_____

_____

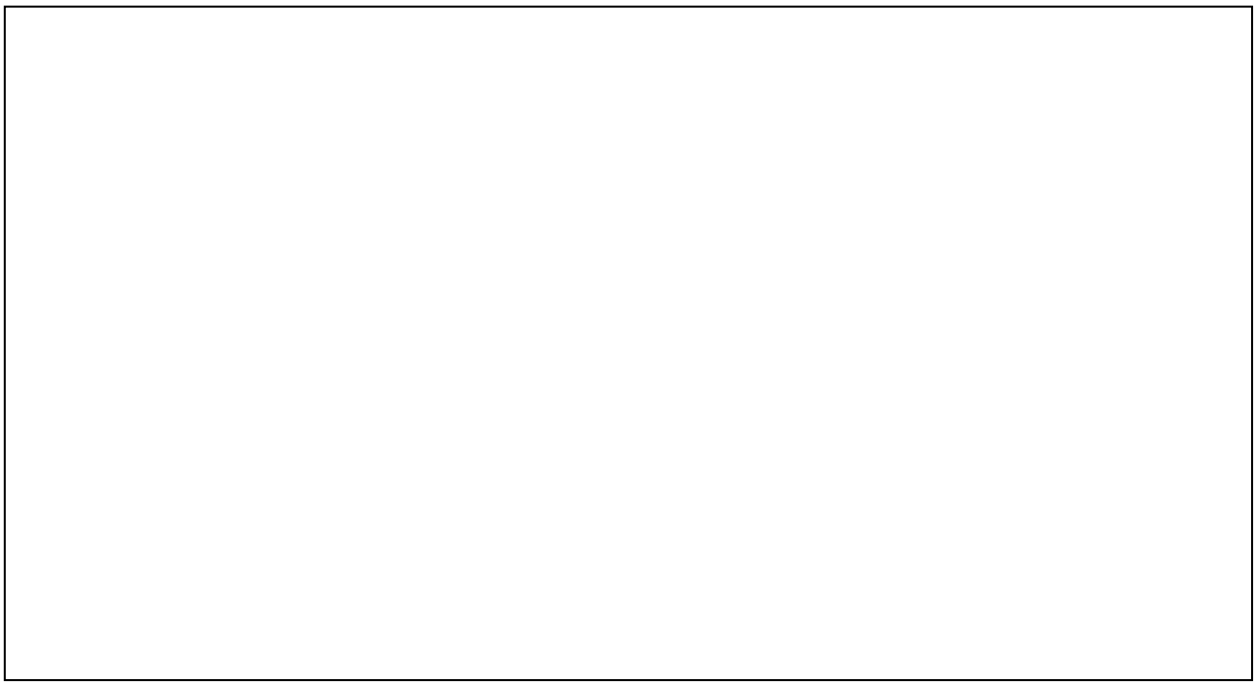
b. What are some major functions of management in an organization? (2 Marks)

_____

_____

Q.3. (Total 7 Marks)

a. Draw and label a graphical representation of business cycle. (5 Marks)



b. Define the following. (2 Marks)

i. Boom:

_____

_____

ii. Recession:

_____

_____

Q.4. (Total 6 Marks)

a. Calculate the missing amounts with reference to the accounting equation. (3 Marks)

	Assets	Liabilities	Equities
A	2,15,000	1,90,000	?
B	?	140,000	30,000
C	84,000	112,000	?

b. State and describe any THREE sources of finance for business organizations. (3 Marks)

1. _____

_____

2. _____

_____

3. _____

_____

Q.5. (Total 6 Marks)

a. Suggest the appropriate pricing strategy for the following situations. (3 Marks)

	Conditions	Pricing strategy
i.	The pricing strategy that should be used with an objective to enter a new market.	
ii.	The pricing strategy that should be used when you want to introduce a product in the market at a low price for a certain period of time.	
iii.	Putting prices in line with your rivals.	

b. Explain cost plus pricing with its formula. (3 Marks)

_____

_____

_____

_____

_____

Q.6. (Total 3 Marks)

Explain the following term:

i. On the job training:

_____

_____

ii. Off the job training:

_____

_____

ii. Induction:

_____

_____

Q.7. (Total 8 Marks)

EITHER

a. State the procedure of selection of an employee in a business organization through a flow chart.

OR

b. State any FOUR factors on which business finance depends. Analyse their impact on a business organization.

Q.8. (Total 8 Marks)

EITHER

a. Autaaq, a local restaurant, serves traditional foods to their customers and promotes *desi* dishes. In order to expand their business, they plan to open new branches where more staff will be employed.

Identify and explain such type of business growth with its THREE merits and demerits.

OR

b. Internal communications in an organization are very poor. Messages are either not being received or not being acted upon.

Suggest EIGHT ways to overcome the problem of poor internal communication in that business organisation.

END OF PAPER